Micron Technology, Inc.

MU NASDAQ

Buy	$935.39 ▼ 0.32%	12M Price Target **$1100.00**	52-Week Range $114.25 – $1255.00	Market Cap N/A

MU: Nvidia's Memory Warning Should Ignite This

WHAT HAPPENED

- Nvidia basically told the world last night that memory prices are going up and supply is tight — that's a giant flashing green light for Micron, which is one of only three companies on Earth that makes the high-bandwidth memory (HBM) that AI chips need. Weirdly, the stock BARELY moved (-0.32%) even though Barron's flagged this exact disconnect. That's either the market being slow or already having priced it in over the last few months (stock is up ~8x from the 52-week low of $114).
- Micron announced it's DOUBLING capex (capital expenditure — money spent building factories) because the AI memory shortage is getting worse, not better. Translation: management sees demand so strong they're willing to spend billions more to catch up.

WHY IT MATTERS

Here's the thing that matters: when Nvidia — the customer — publicly warns about memory prices going up, that's essentially Nvidia telling investors "our suppliers have pricing power." Micron IS that supplier. This probably means the next earnings print has upside to consensus, and analysts are going to be raising price targets into that report. The options flow backs this up — a put/call ratio of 0.51 (meaning twice as many bullish bets as bearish) plus massive unusual call buying at $915-930 strikes tells you big money is positioning for a move higher, likely before the September quarterly report. The doubled capex is a double-edged sword though: bullish because demand is real, but it also means free cash flow gets squeezed near-term as they pour money into fabs.

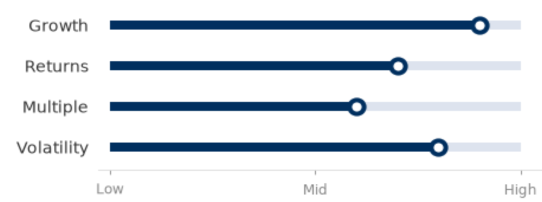
POLICY & POLITICAL WATCH

Micron is arguably the single biggest beneficiary of the CHIPS Act — they got roughly $6.1 billion in direct federal grants to build fabs in Idaho and New York, and the Trump administration has kept the semiconductor reshoring push alive (even while renegotiating some of the terms). Watch the China tariff situation closely: the administration's export controls on advanced memory to China actually HELP Micron because they constrain Chinese competitor CXMT from catching up on HBM. If Congress moves on the pending AI infrastructure bill (still bouncing around committee), federal data center buildouts become another direct tailwind. The one risk: if Trump strikes a broader trade deal with China that loosens memory export controls, that's a headwind — but that seems unlikely near-term.

IS IT EXPENSIVE?

Key Data	
Price (USD)	$935.39
12M Price Target	$1100.00
Upside / (Downside)	+17.6%
Market Cap	N/A
FY2026E Revenue	$48,500M
FY2027E Revenue	$62,000M
FY2026E EPS	$14.20
FY2027E EPS	$22.50
Fwd P/E	65.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

MU — Micron Technology, Inc. | August 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$970.00	**$870.00**
6 Months	**$1200.00**	$1050.00	**$800.00**
1 Year	**$1400.00**	$1100.00	**$750.00**
2 Years	**$1800.00**	$1300.00	**$700.00**
5 Years	**$2500.00**	$1600.00	**$600.00**
10 Years	**$4000.00**	$2200.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors (+3.16% today) — the whole complex just got a shot of adrenaline from Nvidia's commentary. AI infrastructure names broadly benefit from tight supply signals because it validates that demand is outrunning capacity.

COOLING OFF: Energy, Utilities, Industrials all red — classic defensive/old-economy rotation OUT as money chases AI momentum again. Financials also weak, which suggests risk-on tech trade not a broad market rally.

ROTATION WATCH: Money is clearly rotating INTO AI semis and OUT of defensives today. When you see tech +3% while everything else is red, that's a concentrated bet — powerful in the short term but makes the trade crowded.

RELATED PLAY: If Micron's HBM story is real, the equipment makers who sell to Micron benefit too — Applied Materials (AMAT), Lam Research (LRCX), and ASML all get orders when Micron doubles capex. Those are second-derivative plays.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the tip of the AI spear — their commentary literally moves the whole memory/semi supply chain
- AVGO (Broadcom): Custom AI chip business is quietly compounding, benefits from the same hyperscaler capex wave

MU CONTEXT: Micron is LAGGING today despite arguably having the most direct benefit from Nvidia's comments — the Barron's headline literally said "Stock Hasn't Budged." That's usually a setup for catch-up trade in coming days. When a stock underreacts to obviously bullish news, it either means the market doesn't believe it yet (opportunity) or knows something we don't (risk). I lean toward opportunity here given the options flow.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $900-920 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over or Samsung/SK Hynix flood supply faster than expected

Hedging: Pair with short position in a lagging DRAM name or buy protective puts on SMH